

2025 Retirement Income — Tax Documents

Gus & Marlene Pendergast

Form 1099-R — Pension (Marlene Pendergast)

Box	Description	Amount
1	Gross distribution	18,400.00
2a	Taxable amount	18,400.00
4	Federal income tax withheld	1,840.00
7	Distribution code	7 (normal)

Payer: Washington State Dept. of Retirement Systems · TIN 91-6001089

Form 1099-R — Inherited IRA (Gus Pendergast, beneficiary)

Box	Description	Amount
1	Gross distribution	9,200.00
2a	Taxable amount	9,200.00
4	Federal income tax withheld	920.00
7	Distribution code	4 (death)

Payer: Northwest Securities LLC IRA Services · TIN 93-1122456

Inherited IRA — Required Minimum Distribution Worksheet

Item	Value
Prior year-end balance (12/31/2024)	214,300.00
Beneficiary status	Non-eligible designated beneficiary (10-year rule)
Single life expectancy factor	23.3
RMD required (balance ÷ factor)	9,197.42
Distribution taken in 2025	9,200.00
RMD satisfied	Yes

The inherited IRA is subject to the 10-year rule with annual RMDs because the original owner had begun required distributions. The full distribution is taxable as ordinary income.

Form SSA-1099 — Social Security Benefit Statement (Marlene)

Box	Description	Amount
3	Benefits paid in 2025	25,128.00
4	Benefits repaid	0.00
5	Net benefits for 2025	25,128.00
6	Voluntary federal tax withheld	0.00

Social Security Benefit Detail

Item	Amount
Monthly benefit before deductions	2,094.00
Medicare Part B premium deducted	194.00
Net monthly deposit	1,900.00
Months paid	12
Annual benefits (box 5)	25,128.00
Cost-of-living adjustment applied	2.5%

Box 5 reports gross benefits before the Medicare Part B premium deduction. The net amount deposited to the bank is the benefit less the Part B premium.

Monthly Benefit and Pension Payment History

Month	SSA net deposit	SSA gross	Pension net
January	1,900.00	2,094.00	1,380.00
February	1,900.00	2,094.00	1,380.00
March	1,900.00	2,094.00	1,380.00
April	1,900.00	2,094.00	1,380.00
May	1,900.00	2,094.00	1,380.00
June	1,900.00	2,094.00	1,380.00
July	1,900.00	2,094.00	1,380.00
August	1,900.00	2,094.00	1,380.00
September	1,900.00	2,094.00	1,380.00
October	1,900.00	2,094.00	1,380.00
November	1,900.00	2,094.00	1,380.00
December	1,900.00	2,094.00	1,380.00
Total	22,800.00	25,128.00	16,560.00

SSA net deposits total 22,800.00 (gross 25,128.00 less Part B premiums of 2,328.00). Pension net deposits total 16,560.00 (gross 18,400.00 less withholding of 1,840.00).

Inherited IRA — Monthly Account Statement Summary

Month	Beginning	Distribution	Growth	Ending
January	214,300.00	0.00	1,071.50	215,371.50
February	215,371.50	0.00	1,076.86	216,448.36
March	216,448.36	0.00	1,082.24	217,530.60
April	217,530.60	0.00	1,087.65	218,618.25
May	218,618.25	0.00	1,093.09	219,711.34
June	219,711.34	0.00	1,098.56	220,809.90
July	220,809.90	0.00	1,104.05	221,913.95
August	221,913.95	0.00	1,109.57	223,023.52
September	223,023.52	0.00	1,115.12	224,138.64
October	224,138.64	0.00	1,120.69	225,259.33
November	225,259.33	9,200.00	1,126.30	217,185.63
December	217,185.63	0.00	1,085.93	218,271.56

Ten-Year Rule RMD Projection (inherited IRA)

Year	Projected balance	Life-exp factor	Projected RMD
2025	214,300.00	23.3	9,197.42
2026	213,674.58	22.3	9,581.82
2027	212,639.74	21.3	9,983.09
2028	211,162.24	20.3	10,402.08
2029	209,206.65	19.3	10,839.72
2030	206,735.20	18.3	11,297.01
2031	203,707.60	17.3	11,775.01
2032	200,080.89	16.3	12,274.90
2033	195,809.23	15.3	12,797.99
2034	190,843.61	14.3	13,345.71

Projections assume a 5% annual return and are illustrative. The account must be fully distributed by the end of the tenth year following the original owner's death.

Washington State DRS Pension — Annual Detail

Item	Detail
Plan	TRS Plan 2 (teachers)
Annuitant	Marlene Pendergast
Monthly gross	1,533.33
Federal withholding (monthly)	153.33
Net monthly deposit	1,380.00
Annual gross	18,400.00
Annual federal withholding	1,840.00
Distribution code	7 (normal)

Medicare Part B and IRMAA Detail (Marlene)

Item	Amount
Standard Part B premium	185.00
Income-related adjustment (IRMAA)	9.00
Total monthly Part B premium	194.00
Months	12
Annual Part B premiums withheld from SSA	2,328.00

Medicare Part B premiums are deducted from the gross Social Security benefit before the net amount is deposited. Premiums are not income; box 5 reports the gross benefit.

Form 1099-R — Distribution Code Reference

Code 7 — Normal distribution. Used for a normal distribution to a payee who is at least 59½. The taxable amount is generally the full distribution for a fully taxable plan.

Code 4 — Death. Used for distributions to a beneficiary, including a beneficiary of an inherited IRA. The distribution is taxable to the beneficiary as ordinary income and is not subject to the 10% early-distribution penalty.

Box 1 vs. Box 2a. Box 1 is the gross distribution; Box 2a is the taxable amount. When the entire distribution is taxable, the two boxes are equal.

Box 4 — Withholding. Federal income tax withheld is reported as a payment on the recipient's return.

Required minimum distributions. Inherited IRAs may require annual distributions. Failure to take a required amount can result in an excise tax on the shortfall.

Taxation of Social Security benefits

Depending on total combined income, a portion of Social Security benefits — up to 85% — may be includible in taxable income. The amount is determined using the worksheet in the federal return instructions.

Social Security Benefit Verification and COLA History

Year	Monthly benefit	COLA applied	Annual gross
2022	1,944.00	5.9%	23,328.00
2023	2,041.00	8.7%	24,492.00
2024	2,043.00	3.2%	24,516.00
2025	2,094.00	2.5%	25,128.00

This statement verifies the monthly benefit amount and the annual cost-of-living adjustments. The 2025 gross annual benefit before the Medicare Part B deduction is 25,128.00.

Tax Withholding Elections

Source	Form	Election	Annual withholding
WA DRS pension (Marlene)	W-4P	10% federal	1,840.00
Inherited IRA (Gus)	W-4R	10% federal	920.00
Social Security (Marlene)	W-4V	None elected	0.00

Federal income tax is withheld from the pension and the inherited IRA distribution at the elected rates. No voluntary withholding is elected on Social Security.

Multi-Year Distribution and Benefit History

Year	Pension gross	Inherited IRA	SSA gross	Total
2023	18,000.00	0.00	24,492.00	42,492.00
2024	18,200.00	0.00	24,516.00	42,716.00
2025	18,400.00	9,200.00	25,128.00	52,728.00

2025 is the first year of inherited-IRA required distributions under the 10-year rule following the prior owner's death.

Inherited IRA — Beneficiary Election and Account Summary

Item	Detail
Original owner	Brother (decedent), date of death 2024
Beneficiary	Gus Pendergast
Account type	Inherited Traditional IRA
Election	10-year rule with annual RMDs
Custodian	Northwest Securities LLC IRA Services
Account number	IRA-7741-2210
2024 year-end balance	214,300.00
2025 distribution	9,200.00

Because the original owner had reached the required beginning date, annual minimum distributions are required during the 10-year period in addition to full distribution by the end of the tenth year.

Inherited IRA — Quarterly Statements

Statement — Q1 2025

Item	Amount
Beginning balance	214,300.00
Contributions	0.00
Distributions	0.00
Investment growth	see detail
Ending balance	217,530.60

Statement — Q2 2025

Item	Amount
Beginning balance	217,530.60
Contributions	0.00
Distributions	0.00
Investment growth	see detail
Ending balance	220,809.90

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Statement — Q3 2025

Item	Amount
Beginning balance	220,809.90
Contributions	0.00
Distributions	0.00
Investment growth	see detail
Ending balance	224,138.64

Statement — Q4 2025

Item	Amount
Beginning balance	224,138.64
Contributions	0.00
Distributions	9,200.00
Investment growth	see detail
Ending balance	218,271.56

Washington DRS Pension — Plan Summary and Survivor Option

Item	Detail
Plan	Teachers' Retirement System (TRS) Plan 2
Annuitant	Marlene Pendergast
Benefit option	Single life annuity
Annual gross	18,400.00
Federal withholding	1,840.00
Net annual	16,560.00
COLA	Annual, capped per plan rules
Distribution code	7 (normal)

The pension is fully taxable for federal purposes; Washington does not tax the benefit. The net amount is deposited monthly to the household checking account.